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Compensation Strategy: An Overview and Future Steps

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Executive Summary

In recent years, many compensation researchers and consultants have been advocating that the design of an effective reward system demands not only a close articulation between human resource strategies and pay strategies, but also a clear fit between the compensation system and overall business strategies. This paper reviews the emerging compensation strategy literature and examines those issues related to the meaning and structure of pay strategy, and the relationship between compensation and organizational strategy. The paper concludes with a critical assessment of compensation strategy notions and offers suggestions for advancing the state of the art in this area.

A number of writers are now arguing that compensation as a field of study is undergoing a transformation from being a micro-oriented, bureaucratically based, applied discipline that emphasizes tools and techniques to a broader field focusing on such concepts as “congruency,” “fit,” and “linkages” that involve close articulation between the pay system and other organizational functions, business unit strategies, and overall corporate strategy (e.g. Lawler, 1981; Henderson and Risher, 1987; Kerr, 1985; Wallace, 1987; Fay, 1987). The underlying assumption in most of this work is that the pay system is an essential integrating mechanism through which the efforts of individuals are directed toward an organization’s strategic objectives, and that, when properly designed, it can be a key contributor to the effectiveness of the

organization. For this to occur, careful analysis needs to be made of the role that compensation can and should play in the strategic plan of the organization.

Issues of variation, interrelation, and fit are well developed in the business policy literature. It contains many analyses of fit between strategy and other organizational variables, including formal organizational structure, technology, market competencies, and environment (e.g. Miller, 1986; Tichy, 1983; Prescott, 1986). Business policy research also suggests that coherent or matching strategy types are predictive of future firm performance (e.g. Woo and Cooper, 1981; Hambrick, 1983). The concept of match or fit is based on the notion that strategies are decomposable (Simon, 1981), consisting of components (e.g. technology) that are interesting for their individual importance as well as their role in overall strategic objectives. Because strategy “components” can be determined by a firm, an important normative test for a firm’s strategy is internal consistency or equifinality (e.g. Porter, 1980; Galbraith and Schendel, 1983).

The question of strategic coherence has been operationalized in the business policy literature by examining sets of variables that typically fall within the realm of management responsibility; that is, controllable variables such as pricing, promotion, and research and development. Because they are controllable, it is possible to consider these in terms of functional area strategy, such as marketing strategy, financial strategy, human

resource strategy, etc.

This paper reviews the emerging *compensation* strategy literature and offers some tentative answers to the following questions: (a) What is compensation strategy? The first part of this article focuses on the meaning of compensation strategy and the various dimensions that may be used to study this construct. (b) Are there any observable strategic compensation patterns? The second part of this article identifies those strategic pay dimensions that appear to cluster together and form discernible groupings. (c) What is the relationship between compensation and organizational strategy? This section identifies compensation patterns that are purported to be most appropriate for various corporate and business unit strategies. (d) What do we need to do to advance the state of the art in this area? The article concludes with a critical assessment of compensation strategy notions and provides suggestions for future research.

What is Compensation Strategy?

Compensation strategy is the repertoire of pay choices available to management that may, under some conditions, have an impact on the organization's performance and the effective use of its human resources. From this perspective, the degree of success associated with various pay choices depends on those contingencies facing the organization at any given time (Balkin & Gomez-Mejia, 1987b).

Eighteen different studies have explicitly examined strategic compensation choices. This literature spans such areas as executive compensation, diversification strategy, product life cycle, incentive pay, and research and development compensation. These articles are categorized in Exhibit 1 as either empirical, case

studies, or conceptual. Conceptual articles include book chapters and theoretical or review articles. The dimensions shown in Exhibit 1 are broken down into those related to (a) the criteria or basis for determining pay levels, (b) the design of the compensation system, and (c) the administrative framework. Each of these dimensions is discussed below.

Job vs. Skills

Job-based pay is generally used in traditional pay systems where the company assumes that job value can be determined and that worth is primarily comprised of the contributions of the job (rather than individual incumbents) to the organization. Skill-based pay, on the other hand, tends to be used in non-traditional settings where jobs are fluid, employee exchanges are frequent, and the entire human resources philosophy fosters employee participation and trust (Tosi & Tosi, 1986). Few companies pay exclusively for individual skills rather than the job itself. These organizations tend to hire professionals such as academics, lawyers, and physicians (Lawler, 1981).

Performance vs. Seniority

Most authors agree that this decision should be evaluated in terms of organizational goals as well as the firm's ability to measure performance. If a company can accurately measure performance and align rewards accordingly, the system should be perceived as fair by the employees and serve as a powerful reinforcer of desired behaviors (Kerr, 1988). If not, the system will be perceived as unfair and become highly disruptive. Unfortunately, failures in pay-for-performance systems are not uncommon (Pearce, 1987).

Many firms want to pay for performance, but due to their inability to measure performance, they ultimately pay for seniority (Fombrun, 1984). Therefore,

Exhibit 1
Strategic Compensation Dimensions Used by Various Authors

Author	Balkin & Gomez-Meja	Balkin & Gomez-Meja	Broderick	Carroll	Gomez-Meja Tosi & Hinkin	Hambrock & Snow	Kerr	Kerr	Lawler	Miles & Snow
Year	1987a	1987b	1986	1987	1987	1987	1985	1982	1983	1984
Type of Paper	Empirical	Empirical	Empirical	Conceptual	Empirical	Conceptual	Empirical	Conceptual	Conceptual & Case Studies	Case Studies
STRATEGIC COMPENSATION DIMENSIONS										
Basis for Pay										
Job vs. Skills	x		x				x		x	
Performance vs. Seniority	x		x			x	x		x	
Individual vs. Group Performance	x			x			x	x	x	
Short vs. Long Term Orientation	x			x	x	x	x	x	x	
Risk Aversion vs. Risk Taking	x								x	
Corporate vs. Division Performance			x			x	x	x	x	x
Internal vs. External Equity	x			x		x			x	x
Hierarchical vs. Egalitarian	x					x	x		x	x
Qualitative vs. Quantitative Performance Measures			x	x	x	x	x	x	x	
Design Issues										
Pay Level vs. Market	x	x	x	x					x	
Fixed Pay vs. Incentives	x	x	x	x	x	x	x	x	x	x
Frequency of Raises or Bonuses		x		x		x		x		
Intrinsic vs. Extrinsic Rewards						x			x	
Administrative Framework										
Centralization vs. Decentralization of Pay Policies	x		x			x			x	x
Open vs. Secret Pay	x		x						x	
Participation vs. Nonparticipation	x		x						x	
Bureaucratic vs. Flexible Policies	x		x			x				

(Continued....)

Author	Murthy	Pitts	Rappaport	Saischeider	Salter	Steers & Ungson	Stonich	Tichy Fombrun & Devanna	Total Frequen- cies
Year	1977	1974	1978	1981	1973	1984	1981	1982	
Type of Paper	Empirical	Empirical	Conceptual	Case Studies	Case Studies	Conceptual	Conceptual	Case Studies	
STRATEGIC COMPENSATION DIMENSIONS									
Basis for Pay									
Job vs. Skills									4
Performance vs. Seniority									5
Individual vs. Group Performance								x	6
Short vs. Long Term Orientation			x	x	x	x	x		12
Risk Aversion vs. Risk Taking					x				3
Corporate vs. Division Performance		x			x				8
Internal vs. External Equity	x					x			7
Hierarchical vs. Egalitarian									5
Qualitative vs. Quantitative Performance Measures	x	x	x		x	x	x	x	14
Design Issues									
Pay Level vs. Market				x					6
Fixed Pay vs. Incentives	x	x		x	x	x		x	16
Frequency of Raises or Bonuses			x		x	x	x		8
Intrinsic vs. Extrinsic Rewards						x			3
Administrative Framework									
Centralization vs. Decentralization of Pay Policies					x				6
Open vs. Secret Pay									3
Participation vs. Nonparticipation									3
Bureaucratic vs. Flexible Policies									3

when recording perceptions of managers through either questionnaires or interviews, these individuals might claim that their company pays for performance when in reality their system primarily rewards seniority (Gomez-Mejia, Page & Tornow, 1985).

Individual vs. Group Performance

This issue is related to the problem of assessing performance discussed above. It has been argued that individual performance should be used as a basis for pay because it can be a powerful motivator (Carroll, 1987). However, management's inability to accurately measure individual contributions often results in rewards being incongruent with actual performance (Lawler, 1987). If the employees do not perceive a link between rewards and performance, the motivational effect disappears (Mount, 1987).

Using group performance as a basis for pay is recommended when corporate goals or the nature of work demands close cooperation in the work force (Carroll, 1987; Gomez-Mejia & Balkin, 1987). It has been suggested that combining group and individual performance criteria can enhance the reinforcement value of a pay for performance system (Tichy, Fombrun & Devanna, 1982). Lawler (1983) suggests using base salary contingent upon individual performance and bonuses dependent on group performance. Or a bonus pool could be established based on group performance and allocated based on individual performance. Lawler's suggestions are based on the presumed advantages of using both group and individual performance measures.

Carroll (1987) notes that firms with a strong concern for product and market innovation find it difficult to use individual-based performance measures due to their lack of stable individual output indicators necessary to conduct these

evaluations. These firms are better off if they rely on narrowly defined group performance measures to make pay decisions. Carroll claims that this approach is more likely to foster creativity and cooperation in these types of companies. However, an empirical study by Balkin and Gomez-Mejia (1987a) found that within firms similar to those described by Carroll the compensation managers report that it is important to use both individual and group performance measures as a basis for pay in order to maximize the motivational impact.

Short- vs. Long-Term Orientation

Most of the work in this area focuses on top executive compensation, and there are many conflicting views on the subject. Some authors contend that executives are often provided incentives that cause them to consider only the short-term performance of the organization, and this often results in decisions that are inconsistent with long-term objectives (Lawler, 1983; Hambrick & Snow, 1987; Stonich, 1981; Rappaport, 1978). Moving to the opposite extreme, focusing entirely on the long-term picture can mean foregoing the reinforcement value provided by frequent rewards closely tied to desired behaviors (Andrews, 1987).

An extensive battery of measures can be used to provide managerial incentives. Included are return on assets, stock price, earnings per share, and net profit. New approaches are constantly being introduced to measure and reward long-term performance. Stonich (1981), for example, suggests three methods: the weighted factor approach, the long-term evaluation method, and the strategic funds deferral method. However, no single method has been found that is entirely satisfactory (Crystal, 1988). One major problem is that a firm's long-term performance is a function of many factors beyond management's control (Deckop,

1987). A few case studies discuss alternatives for balancing short-term and long-term goals (e.g. Stata and Maidique, 1980), but there is little empirical research.

Gomez-Mejia, Tosi and Hinkin (1987) found that type of ownership significantly affects CEO pay. When there are dominant stockholders, CEO compensation reflects the firm's performance level. In such firms, CEOs are paid more for performance and less for the scale of operation, compared to CEOs in firms without dominant stockholders. This holds true for both pay level and its rate of change over time. However, long-term income, as a proportion of total compensation, appears to be closely associated with performance in both owner- and management-controlled firms. According to these authors, the U.S. tax system may promote this similarity.

The time horizon for pay may also be culture bound. According to Fombrun (1984), three levels of culture affect each employee's overall orientation toward short- or long-term performance: societal, industry, and corporate cultures. In the United States, all three of these tend to be much more concerned with short-term performance (Terpstra, 1978), so it will be difficult to reorient managers towards rewards contingent on long-term performance. One of the major challenges when making strategic compensation choices is to develop effective means of leading the change toward a long-term perspective. Unfortunately, boards of directors do not generally consider the performance of a firm's stock (a long-term measure of stockholder welfare) when rewarding top management (Kerr & Bettis, 1987).

There are numerous logistical problems encountered when dealing with long-term performance. Short-term performance is easily quantifiable, and the information needed for measurement is

easily obtained. This is not true for measures of long-term performance. Executives are often reluctant to commit to long-term goals because they appear risky and rather nebulous.

Carroll (1987) and others argue that firms with business strategies emphasizing maintenance of current market share have objective data readily available and can use that data to reward short-term performance at various levels in the corporate hierarchy. Firms that are currently growing, taking financial risks, and acquiring new businesses do not have objective performance data available and tend to rely on subjective information, which results in an emphasis on long-term performance.

Risk Aversion vs. Risk Taking

According to Stonich (1981), the Japanese believe increased job security reduces individual risk and variability of income and so allows employees to make corporate decisions that involve taking risks, when needed. Job security permits managers to identify with corporate goals without worrying about the consequences of their business decisions for their personal life and standard of living.

There seems to be overall agreement that risk taking is rewarded in high growth companies while risk aversion tends to be reinforced in mature firms that concentrate their efforts on maintaining market share. The potential to earn large incentive payments in high growth companies is attractive to younger, risk-taking managers and technical personnel, and these individuals are necessary to support the entrepreneurial climate demanded by these firms. Mature companies seem to be disinterested in risking changes in their current technology or products and emphasize job security rather than monetary rewards.

Corporate vs. Division Performance

When utilizing only division performance as a measuring stick to distribute

rewards, the corporation loses synergy and may find itself with less control over its business units than might be desired. Using only corporate performance allows some divisional managers to receive undeserved rewards (Hambrick & Snow, 1987).

Rewarding based on corporate performance is more common in firms that have narrow and relatively stable product market domains and that are vertically integrated. The reasoning behind this association is that the headquarter's staff acts as an integrative force and is involved in decisions affecting division performance; therefore, performance should be assessed based on the amount of cooperation and synergy obtained across the various units in addition to financial measures of division performance. In these situations, the financial measures are not necessarily representative of only division performance but reflect the contributions of corporate involvement. Therefore, divisional managers should not be exclusively evaluated on division performance because it is not totally within their control.

Division performance has been recommended by Kerr (1985) and others as a reward criterion for firms at the start-up phase or those growing through acquisitions. Because firms that grow by acquisition tend to be autonomous and free from corporate controls and influence, measures of division performance are more accurate indicators of the contributions made by managerial and technical staffs. In order to spur growth, an entrepreneurial climate is desired in start-up and growth firms. This can best be accomplished by using division performance as a measure. Another justification for using division performance for these firms is that the corporation is not concerned with transferring employees between headquarters and the division because the product knowledge of

employees is unique at each location. Therefore, these types of firms would not acquire the advantages associated with using corporate performance as a measure; they would only incur the disadvantages.

Compensation Level vs. Market

Milkovich (1988) refers to this dimension of compensation strategy as "competitiveness" which represents the total pay package in relation to the competition. This makes sense because the entire pay package is what will attract and retain employees. Unfortunately, researchers seem limited to measuring only base pay in relation to the market. Considering the problems associated with obtaining accurate survey data on base wage rates alone (Rynes and Milkovich, 1986), it is understandable that it might be virtually impossible to measure a more broadly defined competitive position.

Setting pay rates higher than market will usually enhance a firm's ability to attract and retain employees. Paying greater than market can also create a climate where employees feel part of an elite group. Paying lower than market can be an effective strategy for low skilled jobs or positions where qualified applicants are readily available.

High base pay should be associated with firms that continually search for new product and market opportunities because their employees take more risks, and their tasks are more complex (Carroll, 1987). However, Balkin & Gomez-Mejia (1987b) found that growing firms are associated with a lower base salary relative to the market. Their reasoning was that these firms had greater incentives in the pay mix in order to minimize fixed costs incurred at this stage of growth.

A pitfall associated with all the statements made regarding market positioning is that future income stream is sel-

dom considered. For instance, start-up high technology companies might offer the lowest wages in the industry; however, they may be the only businesses that offer employees an opportunity to become millionaires within a few years.

Internal vs. External Equity

The emphasis placed on internal vs. external equity in the compensation system depends on whether divisions are autonomous or dependent. If autonomous, they are free to develop their own policies; therefore, internal equity in relation to the entire corporation is not critical, and external equity becomes the main concern. The opposite would be true for dependent divisions.

The findings of Balkin & Gomez-Mejia (1987a) indicate that "related products" strategy firms, which were the most highly diversified companies studied, emphasized internal equity over external equity. These authors suggest that more "freewheeling" pay practices that are responsive to varying conditions, contingencies, and individual situations seem to be most effective for single product firms and strategic business units at the growth stage. Formalized rules and procedures that tend to "routinize" pay decisions appear to work best for related product firms and strategic business units at the mature stage. A single product firm was defined as deriving 95 percent or more of its revenues from a single product line. A related products firm, on the other hand, derives 70 percent or less of its revenues from any single product but the remainder is derived from product lines that are related in some way.

Hierarchical vs. Egalitarian

Whether the reward system leads to a hierarchical or egalitarian atmosphere tends to be an indirect result of other strategic pay decisions rather than a goal in and of itself. If a company provides

money and various perquisites for moving up the corporate ladder, the traditional hierarchy tends to result. If instead the firm de-emphasizes the traditional differentials between job grades, allows individuals to increase earnings without moving into management, and minimizes status-related perquisites, an egalitarian atmosphere becomes the norm.

Firms that concentrate on harvesting current market share and maintaining existing profit levels tend to reinforce a hierarchical structure. On the other hand, those firms making high investments and undertaking significant financial risks in order to expand market share attempt to foster a more egalitarian style. Milkovich (1988) suggests that the egalitarian atmosphere allows companies flexibility to deploy the work force into new areas, projects, or positions without pay changes. This could explain why growth firms prefer this style of management.

Fixed Pay vs. Incentives

Higher risks tend to be associated with opportunities for larger income. Mature firms or companies trying to maintain their present market share generally offer more job security, and that translates into higher base wages and benefits but less incentives (Salscheider, 1981; Balkin & Gomez-Mejia, 1984; 1987b). Those firms that are aggressively trying to expand their market share (causing employees to incur more personal risks) make use of higher incentives and lower base wages. This enables these firms to minimize fixed pay components and channel resources into additional growth areas. Tenure related "long-term" incentives are also heavily utilized in the high technology industry to tie valuable scientists and engineers to the firm (Balkin & Gomez-Mejia, 1987b).

Quantitative vs. Qualitative Measures of Performance

It has been suggested that firms growing through mergers and acquisitions should use objective evaluation measures because they are more accurate indicators of performance for each quasi-autonomous unit, while companies expanding internally through vertical integration should use subjective measures for each unit due to their dependence on corporate headquarters (Kerr, 1985; Pitts, 1974).

It is also argued that firms that are trying to be "first movers" in new product and market areas should utilize subjective performance measures to better assess entrepreneurial activities because objective, quantifiable data are not easily found (Kerr, 1982; Carroll, 1987). Firms trying to maintain secure positions in relatively stable product or service areas are said to rely on objective performance measures because the quantifiable data is readily available. Objective measures ultimately result in an emphasis on short-term goals. Because of this drawback, Salter (1973) recommended utilizing both types of measures to best serve the corporation's needs.

Bonuses vs. Deferred Compensation

Frequent bonuses and merit pay raises are associated with an emphasis on short-term performance while deferred compensation is associated with a long-term perspective (Salter, 1973; Rappaport, 1978; Carroll, 1987; Kerr, 1982). There is disagreement as to whether frequent rewards should be utilized by firms with a high need for cost efficiency and stable tasks or by companies with a high need for innovation and unstable tasks. This controversy reflects different views about whether short-or long-term goals are most important in each type of firm.

Intrinsic vs. Extrinsic Rewards

Lawler (1983) suggests that a firm can obtain a competitive edge if it combines a good pay package with intrinsic rewards (e.g. achievement, recognition) that meet the psychological needs of the employees the firm hopes to attract and retain. Hambrick & Snow (1987) argue that intrinsic rewards are important in organizations that seldom make major adjustments in their technology, structure, or methods of operation. This is because there is little glamour associated with this type of business so recognition and responsibility serve as important non-monetary rewards to retain achievement oriented employees.

Centralized vs. Decentralized Pay Administration

Pay decisions and administration can be tightly controlled by corporate headquarters or can be delegated to various plants, divisions, and other subunits within the firm. Lawler (1983) asserts that centralized pay works best when the expertise from headquarters is necessary and when internal equity is emphasized. Decentralized pay works best when local innovation is beneficial to the organization or when the strategic business units are either in different markets or at different stages in the product life cycle. Miles & Snow (1984) suggest implementing centralized pay when economies of scale can be realized or when legislative requirements dictate centralization for ease of administration.

Centralized pay is associated with diversified "related products" firms trying to protect their present market share and business units interested in minimizing costs while retaining their position in the market (Carroll, 1987; Balkin & Gomez-Mejia, 1987a). Greater control over pay decisions is consistent with the higher bureaucracy associated with these corporate and business unit types. Single

product firms carving out new market niches and undertaking projects with significant financial risks tend to exercise less direct control over pay decisions. These single-product firms have a more organic management style, with less formal policies and the ability to decentralize decision making.

Open vs. Secret Pay

Lawler (1983) suggests that keeping pay issues secret breeds dependent employees. It also leads to low trust. Open pay, on the other hand, can encourage communication and involvement, in addition to pressuring management to effectively administer the system.

The empirical research conducted by Balkin & Gomez-Mejia (1987a) found open pay systems to be most effective (as reported by compensation managers) in organizations with pay policies that emphasize risk sharing, flexibility, strong "pay for performance" norms, decentralized decisions, employee participation in establishing agreed upon objectives, and a long-term pay orientation.

Participation vs. Nonparticipation of Employees

Low participation appears to fit the traditional, bureaucratic compensation approach. Participation is associated with nontraditional compensation systems and highly knowledgeable workers who are actively involved in other aspects of organizational decision making (Lawler, 1983; Balkin & Gomez-Mejia, 1987a).

Bureaucratic vs. Flexible Pay Policies

Hambrick & Snow (1987) warn that frequent changes to the pay system can result in a lack of coherent policies leading to a compensation system misaligned with organizational strategy. They suggest that the system should be formalized yet flexible enough to allow for modifications when necessary.

What Patterns Emerge?

In order to determine which strategic compensation dimensions tended to be associated with each other, the work of the same 18 authors listed in Exhibit 1 was reviewed. This is an important task because, as noted by Milkovich (1988), a major challenge is "to extract any basic combinations or patterns of pay decisions that may be related to a variety of organizations and environmental conditions" (p. 3). The optimal method for uncovering strategic patterns of compensation dimensions would be to statistically analyze existing studies. However, the limited amount of empirical research precludes our conducting such an analysis. Instead, we used a heuristic approach to create a typology of compensation dimensions. To this end, the relationships among compensation dimensions postulated by various writers were manually recorded and sorted in order to discern underlying patterns (Note: For more information on this methodology, please contact the authors). Exhibit 2 summarizes the two patterns that were identified.

A proposed label for the first pattern is *mechanistic* because it reflects formalized rules and procedures that "routinize" pay decisions and are applied uniformly across the entire organization. These firms pay for the job performed, not the skills an employee brings to the organization; they emphasize base salary and evaluate individual performance; seniority is important, and long-term tenure with the firm is desired. Because these firms pay more than the market and reward for seniority, employees are often "locked into" these organizations and find it difficult to find comparable compensation packages elsewhere. Internal equity procedures are carefully enforced in order to encourage transfers within the "internal labor market," resulting in

Exhibit 2
Strategic Compensation Patterns

PATTERN A: Mechanistic Compensation Strategies	PATTERN B: Organic Compensation Strategies
Basis for Pay Job Seniority Emphasis Individual Appraisals Short-term orientation Risk Aversion Corporate & Division Performance Internal > External Equity Hierarchical Emphasis Quantitative Performance Measures	Basis for Pay Skills Performance Emphasis Group and Individual Appraisals Long-term orientation Risk Taking Division Performance External > Internal Equity Egalitarian Emphasis Qualitative Performance Measures
Design Issues Pay Level > Market Fixed Pay > Incentives Frequent Bonuses Reliance on Intrinsic Rewards	Design Issues Pay Level < Market Incentives > Fixed Pay Deferred Income Reliance on Extrinsic Rewards
Administrative Framework Centralized Secrecy Policies No Participation Bureaucratic Policies	Administrative Framework Decentralized Open Communication Participation Flexible Policies

Exhibit 3
Compensation Strategies Associated with Various Organizational Structures

Mechanistic Compensation Strategies	Mixed Compensation Strategies	Organic Compensation Strategies
• Internal Growth • Related Products • Dominant Business • Maintenance • Defender	• Analyzer • Dominant Product	• Single Product • Acquisition Growth • Unrelated Business • Prospector • Dynamic Growth
SUMMARY Maintain current market share - mature companies - expand in their area of expertise.	SUMMARY Combines strategy - need flexibility due to culture - firms that are in transition.	SUMMARY Growing firms - expand through acquisition of unrelated businesses.

longer tenure. Moving up the corporate ladder and hierarchical position are important values fostered by the organization's culture. Risk taking is minimal, quantitative performance measures are common, and the pay system has a short-term orientation. The administrative framework is characterized by centralization, secrecy, lack of participation, and bureaucratic policies.

The second pattern may be designated as *organic* because these pay practices tend to be more responsive to varying conditions, contingencies, and individual situations. The mechanistic and organic patterns have opposite orientations, with the latter emphasizing skills, performance, group and individual appraisals, long-term results, risk taking, division performance, external equity, and egalitarian approaches as bases for pay. In terms of design and administrative issues for the compensation system, the organic pattern is associated with below market salaries, high incentives in the pay mix, use of bonuses and deferred income, extrinsic rewards, decentralized and open pay policies, employee participation, and flexible compensation programs.

The reader should note that most of the studies used to develop the typology shown in Exhibit 2 are primarily descriptive and suggestive. The heuristic classification system is a first step at synthesizing the many diverse views expressed on this topic. We still have much to learn about the structure of strategic pay dimensions and contingency factors mediating their effectiveness.

What are the Strategic Compensation Patterns Related To?

In this section we will discuss the overall organizational strategies that are presumed to be affiliated with the

mechanistic or organic compensation systems. Exhibit 3 summarizes these relationships.

Mechanistic Compensation Strategies

The mechanistic pattern is associated with the corporate strategies of (a) internal growth, (b) related products, and (c) dominant business. The "internal growth" strategy is followed by firms that are vertically integrated, have a high commitment to their existing product(s), and cautiously expand in the current product areas. The related product strategy refers to a company that grows by diversifying into businesses or products that have a significant relationship to the core business and industry. The "dominant" business strategy describes those firms that diversify to some extent but that obtain a high percentage of their revenues from a single business.

In other words, it appears that the mechanistic compensation pattern is most often used by firms that are fairly secure with their present business and that, when expanding, use their expertise in that current business to grow into similar areas. The reward system complements this corporate strategy by providing pay packages and policies to maintain the in-grown talent needed to enhance the existing business. Work experience with the firm or seniority is rewarded because long-term tenure provides expertise needed to preserve the company's current strategy.

Business unit strategies found associated with the mechanistic pay pattern are the "defender" and "maintenance" strategies. Defenders are concerned with maintaining market share, and those following a maintenance strategy, as the name implies, are also concerned with retaining current position in the market. These business unit strategies have the same characteristics as the corporate strategies associated with the mechanistic pay pattern. The business units' primary

concerns are with their existing product and existing market.

Organic Compensation Strategies

The organic pay pattern is related to the corporate strategies of (a) "single product," (b) "acquisition growth," and (c) "unrelated business." The "single product" strategy is characterized by firms at the initial stages of growth where they are preparing for rapid expansion along a narrow product line. The "acquisition growth" strategy is characterized by more mature companies utilizing acquisitions, mergers, and other forms of external activity as avenues for expansion. These firms grow by acquiring businesses unrelated to the current project or industry. Firms using the unrelated business strategy are not vertically integrated and diversify by entering new markets.

These corporate strategies are the opposite of those associated with the mechanistic compensation system. When at a mature growth stage, rather than expanding through the cautious acquisition of businesses related to the current product, these firms more aggressively acquire businesses inside and outside of their areas of expertise. While the main concern of companies utilizing mechanistic pay policies was internal equity the primary concern of firms following the organic compensation strategies is external equity. These firms are interested in taking greater risks and need to attract a different caliber of employee who is challenged by a riskier environment. Kerr (1985) suggests that the reward pattern associated with these strategies should control outcomes versus behavior. The reason given is that when acquiring businesses outside the firm's area of expertise corporate headquarters does not have sufficient knowledge to control the managers in the acquired business. In order to spur successful operations, these firms

attempt to set realistic operational goals and measure performance against goal achievement rather than evaluate the behavior used to attain goals. In addition, these growth firms are often more concerned with minimizing fixed costs due to the risky nature of their business and their fast growth; therefore, pay systems which help reduce these fixed costs are more beneficial to these companies.

The business unit strategies associated with the organic pay policies are "prospector" and "dynamic growth." The prospector strategy involves actively searching for new products and markets and pursuing opportunities both within and outside existing areas of expertise. The dynamic growth business strategy describes units that take significant financial risks frequently. Both of these business unit strategies have exactly opposite orientations to those associated with the mechanistic compensation system. Whereas the business unit strategies related to mechanistic pay policies emphasize maintaining current market share, the business unit strategies associated with the organic compensation pattern stress rapid expansion into new, often unrelated, markets.

Mixed Compensation Strategies

So far we have presented two extreme patterns of compensation decisions as summarized in Exhibit 3. We should actually think of these patterns as poles on a continuum. In addition to these two extreme positions on the continuum we have included a midpoint in Exhibit 3. The analyzer strategy, which is used by firms operating in both stable and growing markets, is associated with compensation policies between the mechanistic and organic pattern. This mid-position on our continuum is also associated with the "dominant product" strategy. This strategy is characteristic of firms whose diversification is limited and who obtain

most of their revenue from a single product. These firms at the midpoint might be in a transitory state; their immediate needs dictate a compensation strategy that can provide both control and autonomy.

A Critical Assessment and Future Steps

While “think strategically” in terms of reward system almost has become a dogma during the past five years, our understanding of compensation strategy is incomplete, at best. The connection between organizational strategy and appropriate pay policies has not been sufficiently established. Work in this area tends to be prescriptive rather than theory driven, and empirical evidence (particularly in regard to performance results) is sparse or non-existent. Future advancement in state-of-the-art application of strategic concepts to compensation requires more attention to the following substantive issues:

Strategic Focus

With few exceptions, most writers discuss compensation strategy in overarching terms. This frequently results in a nebulous and “mushy” treatment of the subject. It may be more fruitful to focus on strategic employee groups rather than organizational units, and on how strategic significance of different groups varies according to industry and firm characteristics. For example, Balkin and Gomez-Mejia (1987b) found that while scientists and engineers are crucial in the development of compensation strategies in small high technology firms, they may be less important when designing pay systems for mature manufacturing firms.

Milkovich (1988) suggests that strategic compensation issues be analyzed in terms of functional areas such as Research and Development, Marketing,

and Finance. Other possible groups are exempt vs. non-exempt, plant vs. corporate, and professional, semi-skilled, and unskilled. Appropriate pay policies for each of these employee groups can be quite different. Measures of success also vary. This suggests that major employee groups should be analyzed to determine their strategic importance and specific needs; compensation strategies appropriate for each employee group should be devised. Compensation strategy might best be divided into those pay policies affecting the entire corporation and pay policies which can be targeted for special employee groups. Additional research is needed to determine which strategic compensation policies should be made at each level.

Level of Analysis

When first reading textbook definitions of corporate and business unit level strategies, the distinctions between them appear clear. However, after carefully examining the typologies used in the compensation strategy literature, the distinctions between these two dimensions become blurred. For instance, the distinction between “dynamic growth” corporate strategy and “prospector” business unit strategy is not sharp. Both of these strategies are characterized as actively expanding into either related or unrelated product areas. Corporate and business unit strategies seem to deal more with the level of analysis than the actual strategies being used. Dynamic growth refers to the entire corporation’s strategy while prospector refers to a strategy of one strategic business unit. If a business is not affiliated with a larger corporation, is at the introduction stage of the product life cycle, and is growing rapidly it could use either definition of its strategy because the entire corporation’s strategy is synonymous with business strategy. This issue is brought up to demonstrate two problems.

First, the typologies and designations used for describing corporate and business unit strategies are often unclear or loosely worded. The large number of labels used to describe various strategy types makes distinguishing between them difficult. Unfortunately, it is not uncommon for compensation investigators to borrow concepts from the business policy literature without providing careful justification of their application to pay-related issues.

Increased understanding of compensation strategy requires that more attention be devoted to this definition problem. This is needed to spur research and generate data that can be accumulated and analyzed for patterns and trends so that theories can be developed and tested. As noted by Milkovich (1988), very little is known about the linkages between compensation strategy and firm performance. Meaningful empirical research on this important issue demands better conceptualization of the overlap between compensation and organizational strategy. It is not clear, for example, why strategic compensation patterns should behave differently at the corporate versus the business unit level. Perhaps this distinction is not essential for a better understanding of the compensation policies that are most appropriate for the needs of these firms.

The second problem is that the studies conducted to date tend to focus on large manufacturing firms. These companies do have distinct corporate and business unit strategies and are able to articulate strategy. There is a need to study small and medium size firms in addition to non-manufacturing companies. There is also a need for clearer descriptions of the firms studied. Any characteristics of the firms that might provide clues as to why their compensation strategies have failed or succeeded should be provided.

"Ideal" Types

The most common approach in compensation strategy theorizing and research to date is to adopt one of the many typologies from the business policy literature (there are at least 15 of these!), sort organizations into various categories of the chosen taxonomy, and then attempt to delineate the compensation features which are most appropriate for those firms in each cohort. The end result is an "ideal" type in terms of pay strategies for each strategic grouping (e.g. prospectors, defenders etc.).

While taxonomies are often used in the early stages of science as a first step in understanding complex phenomena, it is important to recognize their drawbacks. A danger inherent with the use of typological thinking in compensation strategy is that only a handful of organizations or business units can be neatly classified into a predetermined classification scheme. Most existing business policy taxonomies are much too simplistic to capture the richness and nuances of organizational life that mold the reward system over time. Each firm has its own unique history and tradition, cultural norms, and sociotechnical and environmental forces that shape the framework within which the compensation system must operate. Most companies fall on a continuum along the multiple variables that could potentially influence pay level, pay mix, and compensation policies. Prescribing compensation strategies using an a priori taxonomy provides a general direction, but can be counterproductive if operational programs are faithfully built on such naive models.

Future work in this area would benefit from comprehensive case studies that provide in-depth description of successful compensation strategies employed by a diverse sample of firms. The typical questionnaire based procedures used in previous studies fall short of providing these types of qualitative detail and

insights. In addition, there is a need for non-classificatory multivariate research using interactive models that can show the unique and combined effects of organizational and environmental variables on the pay system (e.g. pay level, pay mix, and pay policies). Ideally, longitudinal designs should be employed to ascertain how changes in compensation strategy (while controlling for such factors as firm size, extent of diversification, industry, etc.) predict subsequent pay effectiveness criteria (e.g. turnover, pay satisfaction, performance).

Concept of Fit

As discussed in the introduction, many authors have stated that the optimal conditions for corporate success include "fit" between corporate, business unit, human resources, and compensation strategy. But to date the concept of fit has only been tested on a very limited basis. We cannot be certain that fit is actually optimal for corporate success.

In fact, Evans (1986) and Greene (1987) suggest that pursuing fit may lead to a rigid and inflexible system. If this is the case, naive concepts of "fit" need to be carefully reexamined and new, more complex paradigms may have to be developed. Is a company interested in adopting a system that will be reliable but possibly inflexible? Milkovich (1988) offers an alternate way of thinking about fit. Rather than alluding to fit as something static, he suggests that obtaining a state of fit is much like "shooting at a moving target." This implies that although fit is desired, the strategies that are appropriate today might easily become incongruent just around the corner. A major problem is that once a reward system is in place, employees develop a set of expectations that makes change difficult and potentially disruptive. Management should be reluctant to make strategic pay decisions that could be ideal under present conditions but may become obsolete in the near future.

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